25901217

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSEECO203 - ECONOMICS OF INNOVATION AND ENTREPRENEURSHIP

(2024 ADMISSION ONWARDS)

ANSWER SCHEME

Part A

Multiple Choice
Questions -Answer
all questions
Each question carries 1 marks

1. b) Product design, packaging, promotion, pricing, or distribution channels
2. b) Leader and organiser
3. c) Market share
4. b) Product Development
5. b) It helps attract investors and guides operations
6. b) It ensures innovation leads to growth while reducing chances of failure
7. d) Local operations, limited growth, and family-run businesses
8. b) Improves the idea
9. b) Eliminate unfeasible ideas
10. b) Identify opportunities and solve problems creatively

Part B-Short Answer Questions Answer any 10 questions-Each question carries 3 marks

11. Loan Appraisal-Evaluation of loan proposal -Assessment of creditworthiness, feasibility, repayment capacity, risk -Importance:Risk identification and reduction ,Feasibility check of innovative/startup ideas -Efficient fund allocation -Creditworthiness assessment -Informed lending decisions -Promotes proper business planning -Ensures regulatory compliance -Reduces NPAs / maintains asset quality
12. real-life understanding, practical exposure, application of theory, problem-solving skills, decision-making ability, understanding entrepreneurial challenges, learning from successes and failures, critical thinking, innovation insight, bridging theory and practice
13. estimation of customer demand, analysis of market needs, identification of target customers, evaluation of purchasing power, forecasting sales potential, understanding consumer preferences, basis for production and pricing decisions
14. vision and goals, leadership support, resource allocation, idea generation mechanisms, collaboration and teamwork, training and skill development, risk-taking encouragement, feedback and evaluation system, reward and recognition, continuous improvement

15. self-financing – low financial risk to outsiders, high personal risk, full control with entrepreneur, limited capital, slow growth; consortium finance – shared risk among lenders, reduced individual burden, shared control/monitoring by institutions, access to large funds, faster expansion for startups
16. Trade secret, confidential business information, no public disclosure, protection without registration, long-term protection as long as secrecy is maintained, prevents competitors from copying, suitable for formula/recipe, cost-effective protection, example of Coca-Cola formula secrecy
17. technical skills – product/service development, managerial skills – planning and resource management, financial skills – budgeting and fund management, supports decision making, ensures efficient operations, improves sustainability of venture
18. alternative revenue streams, product/service innovation, process innovation, cost-effective resource utilization, digital transformation, collaboration and partnerships, value addition without extra cost, creative marketing strategies, customer-centric solutions, improving efficiency without compromising quality
19. traditional innovation – profit-oriented, market-driven, focuses on products and technology, aims at competitive advantage, benefits firms and consumers; social innovation – impact-oriented, addresses social problems, focuses on community and welfare, aims at social change, benefits society and vulnerable groups
20. legal protection for creators, prevention of copying and piracy, encourages innovation and creativity, ensures fair returns and royalties, builds brand value and trust, promotes investment in research and development, safeguards traditional knowledge and designs, enhances competitive advantage, supports startups and entrepreneurs, generates revenue through licensing, creates employment opportunities, boosts economic growth, strengthens international trade competitiveness
21. filing of patent application, provisional or complete specification, submission to Indian Patent Office, publication of application, request for examination, examination by patent examiner, objection and response (if any), hearing and clarification, grant of patent, sealing and maintenance through renewal fees
22. identifies market gaps, generates innovative ideas, enables problem solving, supports business creation, improves competitive advantage, reduces uncertainty and risk, guides resource allocation, enhances profitability potential, encourages proactive decision making, ensures long-term sustainability
23. creates unique value proposition, differentiates from competitors, meets changing customer needs, enables new products and services, improves efficiency and cost reduction, supports scalability and growth, enhances market competitiveness, attracts investors and funding, drives revenue generation, ensures long-term sustainability

Part C-Short Essay Questions Answer any 5 questions-Each question carries 6 marks

24. difficulty in quantifying social impact, lack of clear metrics and indicators, long-term and intangible outcomes, attribution problem (multiple factors influencing impact), data collection challenges, diverse stakeholder expectations, limited financial benchmarks, measuring qualitative changes like behaviour and wellbeing, scalability and comparability issues
25. addresses unemployment and job creation, improves productivity and economic growth, supports digital transformation, enhances agricultural efficiency (precision farming, agri-tech), strengthens healthcare access (telemedicine, low-cost innovations), promotes sustainable development (renewable energy, waste management), boosts MSMEs and startups, reduces import dependence (Make in India), improves education quality (ed-tech solutions), tackles urban and rural inequality, enhances global competitiveness, example – digital payments (UPI), example – affordable healthcare models, example – solar energy initiatives
26. product innovation – new or improved goods/services, process innovation – improved production or delivery methods, organizational innovation – changes in business practices or workplace organization, marketing innovation – new strategies in design, promotion, pricing or distribution, integration of innovations, synergy among different types, improved efficiency and productivity, enhanced customer value, stronger competitive advantage, cost reduction, market expansion, higher profitability, better adaptability to change
27. corporation – separate legal entity, limited liability, perpetual succession, large capital mobilization, professional management, transferability of shares, economies of scale; merits – limited risk to shareholders, easier access to funds, continuity of business, efficient management, expansion possibilities; demerits – complex formation, high regulatory compliance, double taxation, separation of ownership and control, slower decision making, risk of mismanagement
28. job creation, innovation and new ideas, startup ecosystem development, local economic growth, skill development and employability, promotion of self-employment, social problem solving, community development initiatives, adoption of technology, contribution to GDP, fostering entrepreneurial culture, empowerment of youth
29. project report – systematic document of business idea and feasibility, importance – guides planning and execution, helps in decision making, attracts investors and lenders, assesses technical and financial viability, reduces risk and uncertainty; contents of DPR – executive summary, business description, objectives, market analysis, technical details, production plan, organizational structure, marketing strategy, financial projections, cost and revenue estimates, break-even analysis, risk analysis, implementation schedule
30. market risk, technological risk, financial risk, operational risk, competitive pressure, demand uncertainty, regulatory and legal risk, intellectual property risk, funding constraints, scalability challenges, customer adoption risk, rapid technological obsolescence